CSC 163: Computing, Ethics, and Society
ABET SO4 · Module A1 (4a)

Software Law and Illegal Use Exercises Solution

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Exercise: Is it illegal?

Decide whether each use is legal or illegal, and name the main reason.

Scenario	Legal or illegal?	Main reason
Uploading a full copy of a paid game to a file-sharing site		
A company installs 50 copies of a program on a 20-seat license		
Using a keygen to unlock a paid program		
Shipping a GPLv3 library inside a closed-source app, source withheld		
Using an MIT-licensed library in a closed product and keeping its license notice		
Making a backup copy of software you lawfully own or license, for your own use		

Exercise Solution: Is it illegal?

Check the rule behind each case: copying and distribution rights, the license conditions, anti-circumvention (DMCA 1201).

Scenario	Legal or illegal?	Main reason
Uploading a full copy of a paid game to a file-sharing site	**Illegal**	**Unauthorized reproduction and distribution (copyright infringement)**
A company installs 50 copies of a program on a 20-seat license	**Illegal**	**Breach of the license scope; copies beyond the license are unauthorized**
Using a keygen to unlock a paid program	**Illegal**	**Circumvention of access controls (DMCA 1201) and an unlicensed copy**
Shipping a GPLv3 library inside a closed-source app, source withheld	**Illegal**	**GPL conditions broken, so no permission to distribute**
Using an MIT-licensed library in a closed product and keeping its license notice	**Legal**	**MIT is permissive; the notice condition is met**
Making a backup copy of software you lawfully own or license, for your own use	**Generally legal**	**Allowed for the lawful owner of a copy (17 U.S.C. 117), if the license permits**

Exercise: Match the license

Match each license to its key condition.

License	Key condition
MIT	
Apache 2.0	
GPLv3	
LGPLv3	
AGPLv3	
Proprietary EULA	

Exercise Solution: Match the license

Permissive licenses ask mostly for notices. Copyleft licenses require sharing source of larger works. Proprietary licenses restrict copying and modification.

License	Key condition
MIT	**Keep the copyright and license notice; use freely, even in closed products**
Apache 2.0	**Keep notices and state changes; includes a patent grant from contributors**
GPLv3	**Larger works that use it must be released under GPL with source**
LGPLv3	**The library stays open; code that only links to it can have other terms**
AGPLv3	**Like GPL, and also applies when modified code runs as a network service**
Proprietary EULA	**Use only as the license allows; no copying, resale or reverse engineering unless granted**

Exercise: Statutory damages

A court finds that a website distributed pirated copies of 4 different programs (4 works). Statutory damages are awarded per work: $750 to $30,000 normally; up to $150,000 if willful; as low as $200 if innocent. Compute the total for each case.

Case	Per work	Total for 4 works
Ordinary minimum	$750	
Ordinary maximum	$30,000	
Willful maximum	$150,000	
Innocent minimum	$200	

Exercise Solution: Statutory damages

Multiply the per-work amount by the number of works.

Note: the award is per work infringed, not per copy. If the site had distributed 1 program 4 times, the number of works would be 1, and the ordinary minimum would be **$750**.

Case	Per work	Total for 4 works
Ordinary minimum	$750	**$3,000**
Ordinary maximum	$30,000	**$120,000**
Willful maximum	$150,000	**$600,000**
Innocent minimum	$200	**$800**

Exercise: True or false

Write T or F. If false, correct it with a few words.

Statement	T / F	Correction (if false)
Copyright protects the algorithm used in a program		
Most software is licensed, not sold		
Open-source software has no legal conditions		
Willful infringement can bring up to $150,000 per work		
Copyright must be registered before the work is protected		
Cracking a license check is illegal only if you sell the crack		

Exercise Solution: True or false

1 point for T/F, 1 point for the correction.

Statement	T / F	Correction (if false)
Copyright protects the algorithm used in a program	**F**	**It protects expression (code), not ideas or algorithms**
Most software is licensed, not sold	**T**	**—**
Open-source software has no legal conditions	**F**	**Licenses set conditions; breaking them removes permission**
Willful infringement can bring up to $150,000 per work	**T**	**—**
Copyright must be registered before the work is protected	**F**	**Protection is automatic; registration is needed before suing (U.S. works)**
Cracking a license check is illegal only if you sell the crack	**F**	**Circumventing access controls is itself prohibited (DMCA 1201)**

Exercise: Practice 4a question

Describe **two distinct situations** where using software is illegal. For each, explain **what makes it illegal** and **who is harmed**. (Target: about half a page.)

Exercise Solution: Practice 4a question

- **Model answer.**
- Situation 1, piracy: a student shares a paid design program with friends through a file-sharing site. Copying and distributing without permission infringes the owner's exclusive rights (17 U.S.C. 106 and 501). The developer loses sales; users of the copies risk malware.
- Situation 2, license violation: a company buys 20 licenses and installs 50 copies. The license limits use to 20 seats, so the extra copies are unauthorized (breach of contract and infringement). The vendor loses revenue that funds maintenance.
- **Scoring (4 points):** two situations that differ in kind (1); correct legal basis for each (1); harmed party named (1); how they are harmed, with consequences such as damages up to $150,000 per work if willful (1).